

Final Accounts

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Lite — Quick Review (1h-1d)

Rapid summary for last-minute revision before your exam.

Final Accounts comprise three statements prepared from a Trial Balance at period end: the Trading Account, Profit and Loss Account, and Balance Sheet. Together they report gross profit, net profit, and the financial position of the entity.

Core formulas to memorise:

- Gross Profit = Net Sales – Cost of Goods Sold
- COGS = Opening Stock + Purchases + Direct Expenses – Closing Stock
- Net Profit = Gross Profit – Operating Expenses + Other Incomes
- Depreciation (Straight Line) = (Cost – Residual Value) / Useful Life

Key adjustments that always appear: Closing stock (valued at lower of cost or market price), depreciation, outstanding and prepaid expenses, accrued income, and provision for doubtful debts.

Exam pointers for CS Executive:

- Questions carry ~3% weight; expect a 10-12 mark calculation question.
- Watch for 1-mark entries on capital vs. revenue distinction.
- Bad debts recovered requires a specific journal entry (credit P&L, not just debtors).
- Suspense Account errors must be rectified before final accounts lock.

Standard — Regular Study (2d-2mo)

Standard content for students with a few days to months.

Trading Account

The Trading Account is the first step in Final Accounts, computed from the Trial Balance before adjustments. It begins with opening stock and adds purchases (gross, before returns) and direct expenses such as carriage inward, factory wages, and fuel. Closing stock is subtracted last — but only after adjustment entries are passed in the journal. Gross profit is the excess of net sales (gross sales minus sales returns) over COGS.

Net sales = Gross Sales – Sales Returns

A trader who bought goods for ₹2,00,000, paid ₹20,000 in direct costs, opened stock of ₹50,000, and closed with stock worth ₹80,000 has $\text{COGS} = ₹50,000 + ₹2,00,000 + ₹20,000 - ₹80,000 = ₹1,90,000$.

Profit and Loss Account

The P&L Account begins with gross profit transferred from the Trading Account. It deducts all indirect expenses (salaries, rent, insurance, depreciation) and adds other incomes (interest received, commission earned, rent income) to arrive at net profit. Adjustments are critical here: accrued income must be added, prepaid expenses subtracted, and depreciation charged on all fixed assets.

Balance Sheet

The Balance Sheet lists assets (fixed, current, and fictitious) against liabilities (capital, reserves, and current liabilities). The fundamental equation is $\text{Capital} = \text{Total Assets} - \text{External Liabilities}$.

Working capital = Current Assets – Current Liabilities. Assets are arranged by permanence (fixed first) and liabilities by permanence (capital first).

Common Adjustment Cycle

Adjustment Effect on Accounts

Closing stock Add to Trading A/c; show as current asset in B/S

Outstanding expenses Add to respective expense; show as liability

Prepaid expenses Deduct from expense; show as current asset

Depreciation Credit Accumulated Depreciation; debit P&L

Bad debts Debit P&L; reduce debtors in B-S

Extended — Deep Study (3mo+)

Comprehensive coverage for students on a longer study timeline.

Capital vs. Revenue: The Profit Distortion Trap

The single most-tested conceptual trap in CS Executive Final Accounts is the capital-versus-revenue expenditure distinction. When capital expenditure is wrongly treated as revenue, the expense is overstated in the P&L, reducing net profit artificially. For instance, ₹50,000 spent on a machine's major repair (capital) must be added to the asset cost and depreciated — not expensed entirely in the current year. Conversely, revenue expenditure such as raw material purchase debited to asset account understates expenses and inflates profit.

The test: will the expenditure create a long-term benefit (beyond one accounting year)? If yes, capitalise with depreciation. If the benefit is consumed within the year, it is revenue.

Depreciation — Two Methods and Their P&L Impact

Straight Line Method: Annual depreciation is constant. If a machine costs ₹1,00,000 with residual value ₹10,000 over 5 years, depreciation = $(₹1,00,000 - ₹10,000) / 5 = ₹18,000$ per year.

Written Down Value (WDV) Method: A fixed percentage is applied to the opening book value each year, so charges are higher in early years and decrease over time. For a 20% WDV rate, year-one depreciation on ₹1,00,000 = ₹20,000; year two = ₹16,000 (20% of ₹80,000).

CS Executive questions often test the comparison: WDV produces a lower net book value in early years and affects tax computation differently than SL.

Manufacturing Account

When goods are manufactured internally, a Manufacturing Account is prepared before the Trading Account. It adds prime cost (direct materials + direct labour + direct expenses) to the cost of raw materials consumed and factory overheads, arriving at the cost of production. This cost becomes the transfer value into the Trading Account instead of purchases.

Suspense Account and Error Rectification

Errors not revealed by the Trial Balance (e.g., a transposition error that cancels out) pass through a Suspense Account. When the correcting entry is identified, it is debited or credited to the appropriate account and the suspense account cleared. A debit balance in suspense = expense to be recognised; credit balance = income.

Practice Prompts

A firm has opening stock ₹40,000, purchases ₹3,20,000, direct expenses ₹25,000, closing stock ₹60,000, and sales returns ₹10,000 with gross sales ₹5,60,000. Calculate gross profit and show how closing stock appears in both the Trading Account and the Balance Sheet after adjustment.

A machine bought for ₹2,00,000 on 1 April Year 1 has a residual value of ₹20,000 and a useful life of 5 years. Calculate and compare depreciation charged in Year 2 under both Straight Line and Written Down Value (20%) methods, and show the net book value at end of Year 2 in each case.

Content adapted based on your selected roadmap duration. Switch tiers using the selector above.

Continue your study

- View this topic in your CS Executive roadmap — see where "Final Accounts" fits in your personalised plan
- Build a quick revision plan — 1-day sprint covering highest-weight topics
- CS Executive exam overview — pattern, eligibility, and syllabus
- All Accounting notes — browse sibling topics in this subject